You are an auditor senior on the audit of Fiscus Media ltd ('FM') and are auditing the financial statements for the year to 31 December 20X5. Your manager has asked you to perform a substantive analytical review of FM's revenue.

FM produces and publishes podcasts on finance. Information on each podcast and their primary revenue streams is attached at Appendix 1. There are further revenue streams, arising from spin-offs such as books, presenter events and merchandise but, due to the complex licensing arrangements with the shows' various star presenters, these are managed by a separate company.

Extracts from the management accounts to 31 December are attached at Appendix 2; these agree in total to the revenue figure in the draft financial statements. The tolerable error has been set at £50,000.

Required

1. Perform a substantive analytical review to evaluate the reasonableness of FM's reported revenue.

(13 marks)

2. Analyse the potential reasons for any variances between the expected and actual amounts reported for each category of revenue and recommend further procedures to corroborate the reasons for any identified variances.

(15 marks)

(Total 28 marks)

Appendix 1 – Podcast briefing note from GSM's commercial director

FM has three podcasts, each of which is published twice weekly:

- Sound as a Pound ('SP') was our first podcast, providing practical advice for a general audience on how to get good deals and make the most of pressurised household budgets. Still our biggest brand!
- Fruitful Futures ('FF') was next to launch and provides jargon-busting, incisive insights on retirement and pension planning for higher-income listeners.
- The Lucy McDonnell Podcast ('LM') launched on 1 Jan 20X5. Presented by a famous financial correspondent who provides expert commentary, with guests, on international economic news and trends, it is quickly gaining in popularity.

The main driver of our commercial success is the number of times each podcast episode is accessed. Although many listeners prefer to stream podcasts instead of saving a local copy, for simplicity we refer to each occasion a podcast episode is accessed as a 'download'.

The three revenue streams we manage are as follows:

- Subscriptions. The FF podcast is a premium offering, tailored to a narrower target audience and so a monthly subscription is necessary to access the podcast.
- Memberships. The other two podcasts are offered on a 'freemium' basis. Listeners can listen for free, with adverts. Or they can become members of a 'podcast club' which offers benefits like club newsletters, bonus shows, and ad-free listening.
- Advertising. We offer advertisers the right to advertise on our shows.

Downloads ('000s per episode)

	Month of Dec X5	**Month of Dec X4**
SP	821	724
FF	18	17
LM	223	Nil

Advertising rates

We carry three minutes of adverts on the SP and LM podcasts only. The agreed 20X5 rate, with an advertising agency which handles our advertising clients, was £25 per minute per 1,000 advert downloads. We bill the agency quarterly in arrears, based on recent activity levels. The invoice for the final quarter of 20X5 has been submitted but has not yet been paid.

FF subscription rates

FF subscription rates rose from £10 per month to £11 per month on 1 July X5. No credit terms apply.

SP and LM membership

The numbers of members ('000) are as follows

	31 Dec X5	**31 Dec X4**
SP	53	40
LM	21	Nil

The monthly charge for SP membership is £6. We encourage membership growth with popular promotional offers around key periods of the business year. For example, joiners on 'Black Friday', in late November, could claim an attractive SP-branded gift for free.

To generate interest in LM membership, we have offered a heavily discounted £30 single annual payment since the podcast launched. There is no monthly payment option yet, but one will be introduced for 20X6.

Appendix 2 – Management account extracts, FM, Year to 31 December 20X5

	£000's
Subscription Revenue (FF only)	2,232
Advertising Revenue (SP and LM)	6,595
Membership Revenue (SP)	3,102
Membership Revenue (LM)	622
Total	**12,551**